CHAPTER 11

LIBERALISATION PRIVATISATION AND GLOBALISATION

CHAPTER ESSENCE AT A GLANCE:
Examine the 1991 structural reform turnaround: balance of payments crisis roots, Liberalisation (industrial de-licensing, financial, tax, foreign exchange reforms), Privatisation (disinvestment), and Globalisation (WTO accession, outsourcing).

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **1991 Crisis Catalysts:** Foreign exchange reserves plummeted to barely cover 2 weeks of imports, high fiscal deficits, skyrocketing double-digit inflation, forcing India to borrow from IMF and World Bank conditionally.

• **Liberalisation Regulatory Deregulation:** Abolition of industrial licensing (except 6 hazardous sectors), financial sector reforms (RBI role shifted from regulator to facilitator), tax rationalization, and rupee devaluation with market-determined exchange rates.

• **Privatisation and Strategic Disinvestment:** Transfer of state ownership or control of public enterprises to private investors through minority disinvestment, strategic sales, and granting Navratna autonomy.

• **Globalisation and Outsourcing Boom:** Integrating India with world trade by slashing import tariffs, removing quantitative restrictions, joining WTO in 1995, and emerging as a global IT and BPO hub.

ESSENTIAL ECONOMIC MODELS & GOVERNING FORMULAS

$$\text{1991 Crisis Equilibrium} \iff \text{Foreign Exchange Reserves} < \text{2 Weeks of Imports} \rightarrow \text{Emergency IMF Reform Package}$$

Balance of Payments Emergency Catalyst

$$\text{LPG Triad Matrix} = \text{Liberalisation (Markets)} + \text{Privatisation (Ownership)} + \text{Globalisation (Integration)}$$

1991 Structural Transformation Model

$$\text{RBI Role Transformation} \iff \text{Rigid Controller (Pre-1991)} \xrightarrow{\text{Financial Reforms}} \text{Market Facilitator}$$

Monetary Regulatory Role Transition

$$\text{India BPO Competitive Advantage} = \text{Low Wage Arbitrage} + \text{Skilled English Talent} + \text{12-Hour Time Zone Delta}$$

Global Business Process Outsourcing Rationale

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** RBI's role shifted from a 'Controller' to a 'Facilitator' of the financial sector post-1991, allowing commercial banks to fix their own deposit and lending rates.

• **Alert:** Outsourcing expanded rapidly in India due to two key factors: availability of skilled English-speaking manpower at low wage rates, and favorable geographic time-zone differences.

• **Alert:** Post-1991 reforms benefited the service sector and consumer industries, but agriculture suffered from reduced public investment and removal of fertilizer subsidies.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State two major economic factors that triggered the 1991 Balance of Payments economic crisis in India. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Factor 1:** Foreign exchange reserves dropped sharply to barely around Rs 2,500 Crores, sufficient to finance only about two weeks of essential imports. **[1 Mark]**

• **Factor 2:** High government fiscal deficits, rising international crude oil prices due to the Gulf War, and double-digit inflation. **[1 Mark]**

2. What is Outsourcing? Why has India emerged as a favored global destination for outsourcing? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A business practice of contracting out non-core activities (like call centers, customer service, medical transcription) to third-party providers abroad. **[1 Mark]**

• **India's Advantage:** Large pool of skilled, English-speaking educated youth available at significantly lower wages compared to Western countries. **[1 Mark]**

3. Explain the major Industrial Sector Reforms introduced under Liberalisation in 1991. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Abolition of Industrial Licensing:** Licensing was eliminated for almost all industries, retained only for 6 hazardous or security areas (alcohol, cigarettes, defense equipment). **[1 Mark]**

• **De-reservation of Public Sector:** Public sector reserved areas were reduced from 17 down to only atomic energy and railway transport. **[1 Mark]**

• **De-reservation of Small Scale:** Hundreds of goods previously reserved exclusively for small-scale units were opened to competitive market production. **[1 Mark]**

4. Explain how the role of the Reserve Bank of India (RBI) changed from 'Regulator' to 'Facilitator' after the 1991 Financial Sector Reforms. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Pre-1991 (Regulator):** RBI fixed interest rates on deposits and loans, dictated reserve ratios rigidly, and controlled bank branch expansion. **[1.5 Marks]**

• **Post-1991 (Facilitator):** Allowed commercial banks freedom to set interest rates, opened entry for private and foreign banks, and permitted branch opening without prior approvals. **[1.5 Marks]**

5. Distinguish between Disinvestment and Strategic Sale in the context of Privatisation. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Disinvestment:** Selling minority equity stakes (up to 49 percent) in public sector enterprises to financial institutions, mutual funds, and retail investors while the government retains controlling ownership. **[1.5 Marks]**

• **Strategic Sale:** Selling 51 percent or more of equity along with complete transfer of executive management control to a private strategic partner. **[1.5 Marks]**

6. Discuss the major criticisms leveled against economic reforms regarding their neglect of the Agricultural Sector. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Decline in Public Investment:** Government capital expenditure in agricultural irrigation, power, and rural roads was cut back sharply. **[1 Mark]**

• **Removal of Fertilizer Subsidies:** Increased production input costs, severely squeezing profit margins for small and marginal farmers. **[1 Mark]**

• **Shift to Export Cash Crops:** Farmers shifted from food grains to volatile export cash crops (cotton, vanilla), exposing them to devastating international price crashes. **[1 Mark]**

7. Evaluate the 1991 Economic Reforms by comparing their positive impacts (GDP growth, foreign exchange reserves, FDI) against their negative consequences (jobless growth, agricultural neglect, regional disparities). [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Positive Impacts:** GDP growth accelerated to 7-8 percent, foreign exchange reserves soared from 1 billion dollars to hundreds of billions, and consumer choice expanded exponentially. **[2 Marks]**

• **Negative Consequences:** Created 'Jobless Growth' where services and IT boomed without generating mass industrial employment; neglected rural agriculture; widened income inequalities between rich states and poorer agrarian states. **[2 Marks]**